# CASE STUDY

**Owner:** Pham Ngoc Huy

# “We're SPENDING $5,519 to keep the payment ecosystem moving but only $2,163 COMEBACK ...”

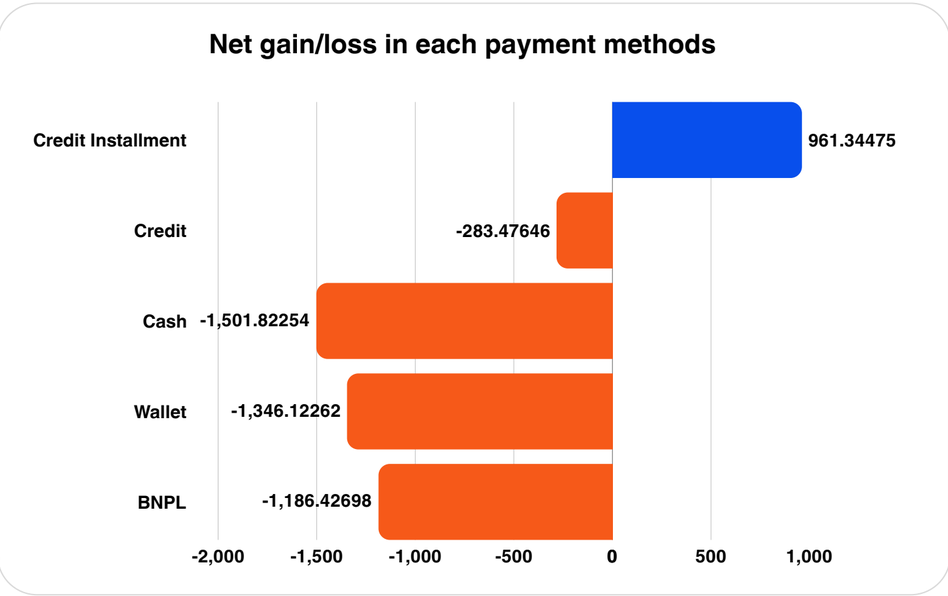
Six months of order-level data across 500 users, 9,935 orders, **five payment methods**.

**$70,068**
**Total GMV**

**$5,519**
**Platform discount spent**

**$2,163**
**Fee revenue recovered**

**-$3,356**
**Net platform position**



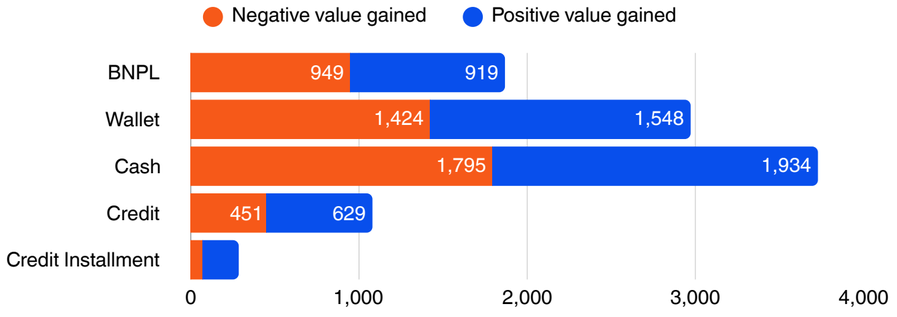

**Net gain/loss =** fee colleted - platform discounts

This is a real gap but **NOT** necessarily a **bad thing**.
Using subsidy to sustain the growth of platforms is vital strategy.
BUT right now we **DON’T actually know** if that money is working or not.

# “When it comes to Payment methods, we can see that ...”

| Payment Method | Share in total orders (%) | AOV | Discount/ order | Fee collected/ order | Net position per order |
|---|---|---|---|---|---|
| **BNPL** | 18.802214 | 7.194252 | 0.739449 | 0.104317 | **-0.635132** |
| **Cash** | 37.533971 | 5.275525 | 0.508252 | 0.105511 | **-0.402741** |
| **Credit** | 10.870659 | 8.502965 | 0.645112 | 0.382633 | **-0.262478** |
| **Credit Installment** | 2.878712 | **41.560982** | 0.25446 | 3.615805 | **3.361345** |
| **Wallet** | 29.914444 | 0.4957 | 0.042765 | 0.042765 | **-0.452935** |

**Total number of transactions in each Payment Methods**




Every 100 transactions, **BNPL/ Cash/ Wallet** beared loss in around **50 transactions**, WHILE that of **Credit Installment is only 25**.

**The stragetic payment methods** (e.g., Wallet and BNPL) are **MOST costly** (amount of fee collected cannot compensate for the subsidized amount)

On the order hand, **Credit Installment** generate a **more healthy and stable growth** (regardless of modest number of transactions). In our further analysis, nearly 213 / 268 transactions roughly made without any subsidy (both from merchant and platform)

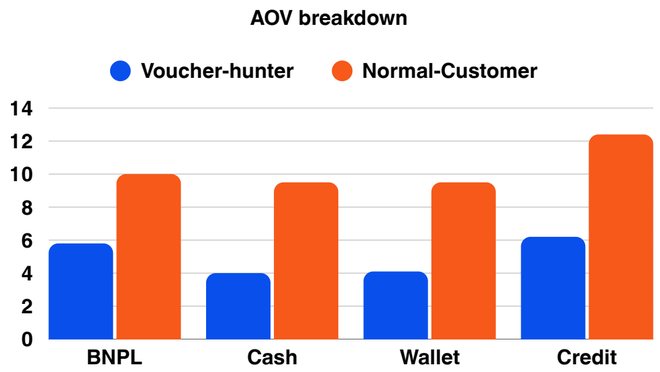
**MY INITIAL ASSESSMENT IS:**

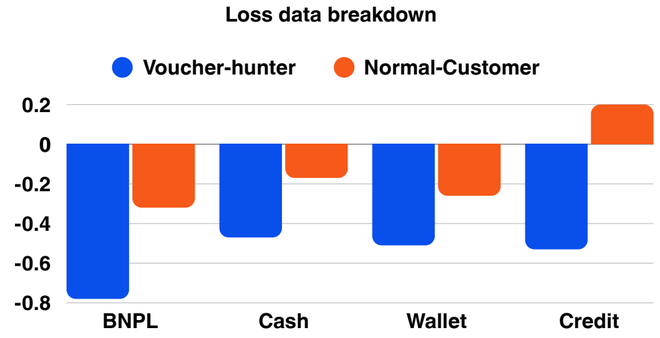
- **Stragetic payment methods** plays a “zero sum game" strategy: for the user to gain, we have to give up large proportion of our profit.
- **Credit Installment** implies that motivation of users come from the pure intention to buy and the properties of payment method itself, rather than subsidy.

▶ **Should we STOP investing in our strategic payment methods by ONLY looking at the substantial negative pay-off?**

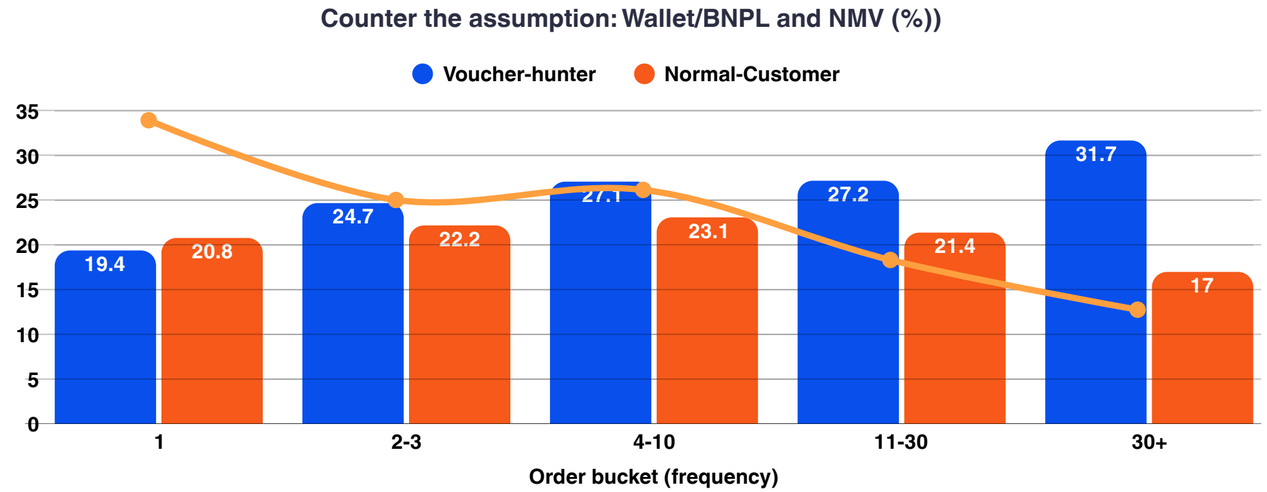
# “Strategic payment methods are STILL WORTH investing when I further break down the user by segment, because .... ”

## Real factors cause loss in each payment method




**Voucher Hunters** contributes large proportion in AOV
In all payment methods, loss MOSTLY comes from **Voucher Hunters’** transactions




### Logic of users segmentation:

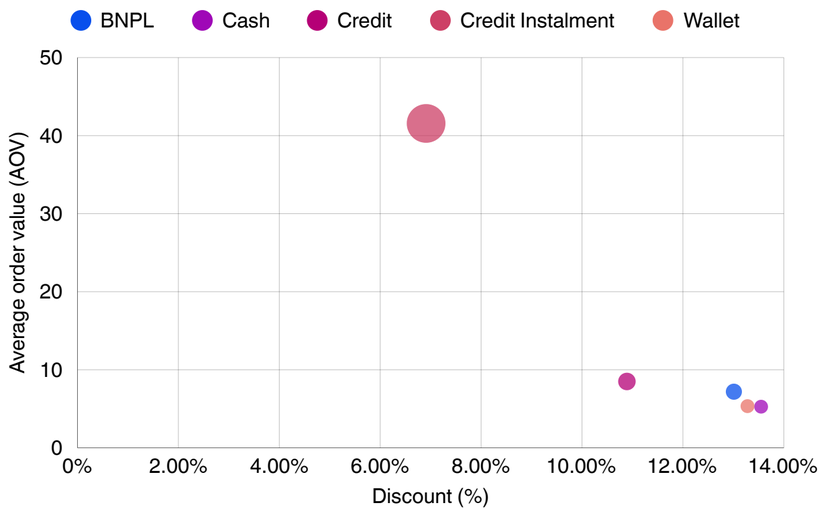
- **Voucher Hunters:** The user's total combined discounts (platform + seller) amount to 10% or more of their total Gross Merchant Value (GMV),
- Normal Customers: others

### MY ASSESSMENT:

- **There is high proportion of Normal Cutsomers using** BNPL/Wallet in high-frequency purchase.
- **My assumption:** they can be remarked  HIGHLY loyal, whom we don’t need to release large amount of discount to retain

**THEREFORE, there could be space for COST ALLOCATION**

# “Credit Instalments come up as CLEAN investment - but where ?”




## MY ASSESSMENT

- only 9% **PLATFORM DISCOUNT**, the **LOWEST** across the system.
- Credit Instalment AOV: 41.5, 5 to 8× **HIGHER** than other payment methods.

**BUT what merchants in the Credit Instalment brings that AOV?**

First look around:

- Home Living
- Beauty
- Fashion

**BUT WAIT**



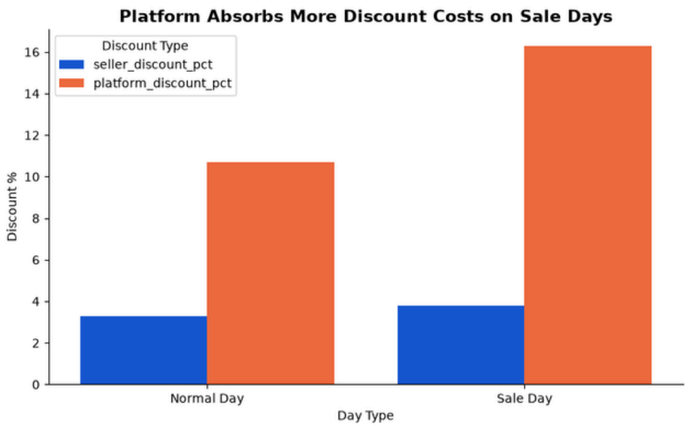

## KEY INSIGHT

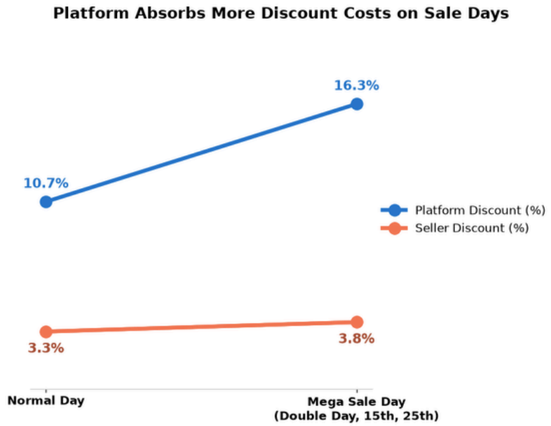
- **FASHION SHOWS THE CLEAREST EVIDENCE OF HIGH-VALUE ORDERS** - mean GMV 83.6 vs. median 97.2, indicating a relatively concentrated order value **distribution.**
- **BEAUTY** DRIVES VOLUME (n=265) but shows a STRONGLY RIGHT-SKEWED DISTRIBUTION - mean 39.3 vs. median only 6.06.

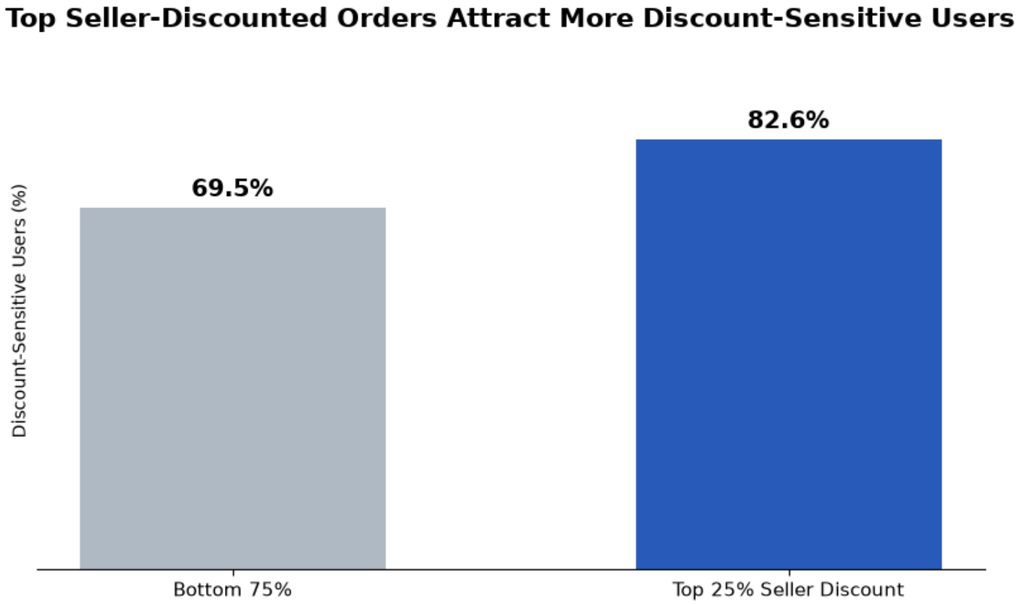
**IMPLICATION:** Beauty provides scale, while Fashion appears more promising for HIGH-VALUE ORDER ACQUISITION.

**CAUTION:** Fashion has a SMALL SAMPLE SIZE (n=17), so the finding should be validated with a larger sample.

# “ We have space to control our strategy by using Platform discount because the .... ”




## KEY CONCLUSION

- **SALE DAYS DO NOT SIGNIFICANTLY INCREASE SELLER DISCOUNT**, while PLATFORM DISCOUNT increases more aggressively - suggesting that the platform is bearing a larger share of promotional costs.
- **The TOP 25% OF SELLER-DISCOUNTED ORDERS** also show meaningful overlap with DISCOUNT-SENSITIVE USERS, indicating that some platform subsidies may be incremental rather than necessary to drive conversion.

## STRATEGIC IMPLICATION

- The current subsidy mechanism could be better targeted instead of broadly applied. Rather than increasing platform subsidies across all Sale Day orders, the platform should prioritize **ORDERS / USERS WITH HIGH INCREMENTAL CONVERSION POTENTIAL**, while reducing subsidies where SELLER DISCOUNTS ARE ALREADY DEEP.

→ ***SHIFT FROM BROAD-BASED SUBSIDIZATION TO TARGETED, INCREMENTAL SUBSIDIZATION*** to improve subsidy efficiency, reduce overlapping discounts, and preserve GMV / conversion impact.

# “Therefore, the STRATEGY I propose is ...”

| | ENGINE 1 - CLEAN GROWTH | ENGINE 2 - CONTROLLED CROSS-SUBSIDY |
|---|---|---|
| **Target method** | **Credit Installment** | **BNPL + Wallet** |
| **Job to do** | **Grow volume without burning cash** - it already pays for itself (+$961 net) → *Further market research could be needed to identify the the detailed campaign for facilitating this.* | **Keep the ecosystem sticky** for the users worth keeping, without subsidizing users who don't need it |
| **Target segment** | • **Fashion:** proven big-ticket pattern → however, the number of transaction is small so that we need conduct validation to ensure this is the real trend; and<br>• **Beauty:** with largest volume base → however, the distribution could be skewed (some large transaction value dominate others - needs unpacking before scaling) | **Grow:** new_user & mid-frequency (4-10 orders) - where trial actually needs a nudge<br>**Taper:** loyal 30+-order users - already at 31% Wallet share, don't need more incentive |
| **Actions** | **No discount needed**. Invest in checkout UX / installment partner terms for Fashion & Beauty. Run a small pilot to grow the Fashion sample before committing bigger budget. | **Reduce Wallet discount for the already-loyal segment**. Redirect that freed budget - plus the ~$215 reallocated from safe discount pool - into BNPL/Wallet incentives aimed at new_user and mid-frequency buyers. |
| **Funding source** | None required — self-funding | Reallocated budget, not new spend |

**CI → WALLET / BNPL CROSS-SELL OPPORTUNITY**

**142 CI USERS** generated **5,365 LIFETIME ORDERS**, showing strong **CUSTOMER ENGAGEMENT**.

**CI USERS** also show **STRONG ADOPTION OF WALLET & BNPL**, indicating high CROSS-SELL POTENTIAL.

**LEVERAGE CI AS AN ACQUISITION CHANNEL** to drive **WALLET / BNPL USER GROWTH** and increase **MULTI-PRODUCT ADOPTION**.

# “FINALLY, ...”

## BRIEF OF STRATEGY

Let **Installment** grow on its own, and use the savings to keep **BNPL/Wallet** alive

**Installment** doesn't need our help - it already works. So we can put our energy into **BNPL and Wallet** instead, using money freed up rather than new budget. And **within Wallet**, we should stop over-discounting the loyal customers who'd stick around anyway, and instead put that money toward new or occasional shoppers who might actually be swayed by it.

## PILOT BEFORE SCALE UP

**Steps:** set the rules (weeks 1-2) → run a small test (weeks 3-6) → measure the impact (weeks 7-12) → decide whether to scale (week 13+)

We'll **start by cutting discounts only on the safer group of orders** - the ones not tied to deal-hungry customers - **by a modest amount**, then watch closely for a few weeks to see if people are still ordering as often.

→ *If it works, we've proven it cheaply. If it doesn't, we've only risked a small slice of the budget.*

**FINAL NOTES:** Everything I've shown is a pattern we found in the data, not something I’ve proven by testing it - so **I can't say for certain** what will happen if we act on it. A couple of my findings, are also based on very few orders (within 6 months). Before putting anything out into real implementation, we need an actual test, more data on individual sellers, and a clear way to measure whether the BNPL/Wallet spending is actually working.

# THANK YOU.